when given a clear and objective assessment.

Accessible

All too many reports are not understood by the employees and managers who are supposed to use them to guide their decision making. Unfortunately, most managers do not respond to this complexity by working hand in hand with the data warehousing team to simplify the reports so that they can understand them better. Departments too often spend their energy learning how to use data to get what they want rather than as genuine feedback to guide their future actions.

There is an antidote to this misuse of data. First, make the reports as simple as possible so that everyone understands them. Remember the saying "Metrics are people, too." The easiest way to make reports comprehensible is to use tangible, concrete units. What is a website hit? Nobody is really sure, but everyone knows what a person visiting the website is: one can practically picture those people sitting at their computers.

This is why cohort-based reports are the gold standard of learning metrics: they turn complex actions into people-based reports. Each cohort analysis says: among the people who used our product in this period, here's how many of them exhibited each of the behaviors we care about. In the IMVU example, we saw four behaviors: downloading the product, logging into the product from one's computer, engaging in a chat with other customers, and upgrading to the paid version of the product. In other words, the report deals with people and their actions, which are far more useful than piles of data points. For example, think about how hard it would have been to tell if IMVU was being successful if we had reported only on the total number of person-to-person conversations. Let's say we have 10,000 conversations in a period. Is that good? Is that one person being very, very social, or is it 10,000 people each trying the product one time and then giving up? There's no way to know without creating a more detailed report.